

SELECTING THE CATEGORIES WITHIN DEBT MUTUAL FUNDS

CATEGORY RISK-TAKING ABILITY	GOVERNMENT BOND FUNDS (Security & Safety)	SHORT TERM BOND FUNDS (Low Risk & Low Return)	CORPORATE BOND FUNDS (Relatively more risky than government but higher return)	MEDIUM DURATION BOND FUNDS (Medium Risk & Medium Return)	SEE BELOW FOR NOTES
HIGH (ABILITY > 3.5)	—	—	✓	✓	1
MODERATE (ABILITY 2-3.5)	✓	—	—	✓	2
LOW (ABILITY <2)	✓	✓	—	—	3

1

We can select either of the above or distribute between the two in any ratio. Both of these can help us meet our objective at this stage. We will avoid credit risk bonds and long duration bonds despite high risk taking ability because that is beyond the scope of most individuals to understand and monitor. As a result, we will ignore these high risk bonds completely.

2

We will distribute between the two categories based on our willingness to take risks. Ideally, a 50-50 distribution should serve a good balance.

3

These give both stability as well as safety. They have relatively low return, however, match our risk profile.